

The British India General Insurance Co, Ltd v G M Parmar and Co [1966] 1 EA 172 (CAN)

Division:	Court of Appeal at Nairobi
Date of ruling:	6 June 1966
Case Number:	9/1966

Before: Sir Clement de Lestang Ag P, Spry and Law JJA

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Appeal from:	The High Court of Kenya – Miles, J

[1] *Practice – Pleading – Amendment – Amendment of defence before trial – Amendment resisted on ground that inconsistent with original defence – Principle that amendments generally allowed unless that would cause an injustice explained.*

Editor's Summary

In an action by the respondent to enforce a motor vehicle policy in respect of a collision between its petrol lorry and a locomotive the appellant insurer had denied liability on the ground that the policy did not cover use of the lorry for hire or reward as was alleged to be the case at the time of the accident. Subsequently an application was made to amend the defence by adding three new paragraphs, the effect of which was, in the alternative, to avoid the policy on the ground of misrepresentation and non-disclosure of material facts in the proposal form. The judge refused the amendment because, in his view, it was inconsistent with the original defence and that he was bound by the decision in *Abdul Karim Khan v. Mohamed Roshan* (1), which he understood to lay down the principle that the courts will not permit an amendment that is inconsistent with the original pleading and entirely alters the nature of the defence. On appeal,

Held –

- (i) the decision of *Abdul Karim Khan v. Mohamed Roshan* was decided on its own facts and did not change the general principle that the courts will freely allow an amendment to pleadings before the hearing if it can be done without injustice to the other side;
- (ii) the amendment sought to add a new ground for denying liability which could have been pleaded in the beginning as an alternative ground of defence and as the judge was satisfied that the application was made bona fide and could cause no injustice to the respondents there was no good reason to refuse the respondents leave to amend their defence.

Appeal and amendment allowed.

Cases referred to in judgment:

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- (1) *Abdul Karim Khan v. Mohamed Roshan*, [1965] E.A. 289 (C.A.).
 - (2) *Simonian v. Johar*, [1962] E.A. 336 (K.).
 - (3) *Tildesley v. Harper* (1878), 10 Ch.D. 393.
 - (4) *Eastern Bakery v. Castelino*, [1958] E.A. 461 (U.).
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- (5) *Clough v. London & North Western Railway Co.* (1871), L.R. 7 Exch. 26.
 - (6) *Kwei Tek Chao and Others v. British Traders and Shippers, Ltd. N.V. Handelsmaatschappij J. Smits Import-Export, Third Party*, [1954] 2 Q.B. 459.
 - (7) *Scarf v. Jardine* (1882), 7 A.C. 345.
 - (8) *Car and Universal Finance Co., Ltd. v. Caldwell*, [1964] 1 All E.R. 290.
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- (9) *Clarapede v. Commercial Union Association* (1883), 32 W.R. 262.
 - (10) *Budding v. Murdoch* (1875), 1 Ch.D. 42.
 - (11) *Ma Shwe Mya v. Maung Po Hnaung* (1921), 48 I.A. 214; 48 Cal. 832.
 - (12) *Raleigh v. Goschen*, [1898] 1 Ch. 73.
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- (13) *Weldon v. Neil* (1887), 19 Q.B.D. 394.
 - (14) *Hilton v. Sutton Steam Laundry*, [1946] 1 K.B. 65 (No).
 - (15) *G. L. Baker, Ltd. v. Medway Building and Supplies, Ltd.*, [1958] 3 All E.R. 540
 - (16) *J. Leavey & Co., Ltd. v. George H. Hirst & Co., Ltd.*, [1943] 2 All E.R. 581
 - (17) *Jupiter General Insurance Co., Ltd. v. Rajabali Hasham and Sons*, [1960] E.A. 592 (T.).

The following judgments were read:

Judgment

Sir Clement de Lestang Ag P: This is an appeal by the British India General Insurance Co., Ltd. (hereinafter referred to as “the defendants”) against an order and ruling of the High Court of Kenya refusing them leave to amend their defence. The plaintiffs, G. M. Parmar & Co., were the owners of a petrol tanker which was insured with the defendants. On July 26, 1962, the plaintiffs’ tanker collided with a locomotive at a railway crossing. On the following day the defendants were notified of the accident and on July 30 sent a claim form to the plaintiffs which they returned duly completed to the defendants’ advocates, Geoffrey White & Co. on August 28, 1962. The claim form disclosed that the driver of the tanker had on September 16, 1957, been convicted of dangerous driving and had had his licence endorsed. That fact was not disclosed in the proposal form for the insurance in which the reply to question 14, “Have any of your drivers been fined or had their licences endorsed, etc.” was “No”. Meanwhile on August 22, 1962, the defendants’ advocates had written to the plaintiffs that at the time of the accident the tanker was being used for hire or reward, a purpose not covered by the policy of insurance, and that they accepted no liability whatsoever under the policy. On June 20, 1963, the plaintiffs brought a suit against the defendants in which they claimed a total sum of Shs. 124,014/47 under the policy. In paragraph 10 of the plaint the plaintiffs averred that “by letters before action (the defendants) have refused to be bound by the said Policy and have expressly or by conduct waived any condition precedent as to arbitration and have failed and neglected to pay the Plaintiffs” the amount claimed or any part thereof.

The defence, prepared by Geoffrey White & Co. was filed on or about August 8, 1963. The substantive defence pleaded is to be found in paragraphs 3 and 5 which allege that it was a term and/or condition of the policy that the same did not cover the use of the vehicle insured thereunder for hire or reward and that at the time of the accident the vehicle was being used for hire or reward; consequently the defendants were under no obligation to indemnify the plaintiffs. Paragraph 12 of the defence reads:

“The Defendant denies that it has ever by any letter or letters whether before action or at all refused to be bound by the said or any policy nor has the Defendant ever expressly or by conduct or at all waived any condition (whether precedent or otherwise) as to arbitration or any thing else. The Defendant is under no obligation whatsoever to pay any sum to the Plaintiffs or anyone else and save as is expressly admitted in this Defence the Defendant denies each and every allegation made by the Plaintiffs in the Plaint”.

The suit was set down for hearing on December 16 and 17, 1963, but owing either to the absence on long leave of the defendants’ advocates or their ceasing to practice there was a change of advocates on October 29, 1963, and thenceforth Mr. Shroff acted for the defendants. It became apparent to him that there was an omission in the defence; so on or about November 11, 1963, he

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filed an application to amend the defence by adding three new paragraphs, the effect of which was to avoid the policy on the ground of misrepresentation and non-disclosure of a material fact, viz., the conviction of the driver and the endorsement of his licence. The application was resisted by the plaintiffs and the learned judge refused it. Against that refusal the defendants appeal and the first question in this appeal is whether the learned judge refused the application in the exercise of his discretion or as a matter of law.

Reading his ruling as a whole it seems to me plain that the learned judge did not purport to exercise a discretion but felt compelled to refuse the application because, in his view, it was inconsistent with the original defence and that he was bound by the decision of this Court in *Abdul Karim Khan v. Mohamed Roshan* (1) which he understood to lay down the principle that the courts will not permit an amendment which is inconsistent with the original pleading and entirely alters the nature of the defence. That it is so is clear from the following passages from his ruling:

“I now come to what in my view is the most weighty objection to this amendment, namely, that it introduces a new and inconsistent defence. Now there is no objection to a plaintiff putting forward inconsistent claims in the alternative in his original plaint or to a defendant raising inconsistent grounds of defence in the alternative in his original written statement. How far does this apply in the case of an amendment?”

He then refers to a passage in the judgment of Crabbe, J.A., in *Abdul Karim Khan’s* case (1) which reads as follows:

“In this case no argument which I heard during the hearing of this appeal has persuaded me that the

learned judge erred on any principle of law in refusing the application for the amendments. The additional facts pleaded in para. 7 were quite obvious omissions, and counsel for the plaintiff at the trial admitted that these were referred to in correspondence with the defendant. Perhaps, what is a more serious obstacle to the plaintiff was the introduction of fresh matters into his pleadings. The claims for specific performance, damages and rescission are all founded upon an express agreement. The amendment sought to be made to para. 7 and the addition of prayer (IV) were based on s. 70 of the Indian Contract Act, which only applies in the absence of any express agreement, and therefore inconsistent with the alternative claims for specific performance, damages and rescission. Surely, the court cannot allow an amendment which creates inconsistency in the pleadings.”

After pointing out that the proposed amendment would cause no injustice to the plaintiffs the learned judge says:

“It is clear, however, upon the authority of *Abdul Karim Khan v. Mohamed Roshan* (1) (supra) that the courts will not permit an amendment which is inconsistent with the original pleading and entirely alters the nature of the defence. This decision is binding upon me.”

He then holds that *Simonian v. Johar* (2) does not lay down the general principle that if a claim or ground of defence could be properly pleaded in the first instance it could be added at a later stage by amendment and that such a proposition was inconsistent with the decision in *Abdul Karim Khan's* case (1) and concludes his ruling with the words “For these reasons I hold that the proposed amendment is inconsistent with the original defence and the application is dismissed with costs”. At first sight the last sentence of the passage in the judgment of Crabbe, J.A., quoted earlier would appear to support the learned judge’s view and it may be that the choice of words used by that learned judge was unfortunate.

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Nevertheless the sentence must not be read out of its context and when the paragraph is read as a whole it becomes clear in my view that the true reason for not interfering with the learned judge’s refusal of leave to amend in that case was that Crabbe, J.A., saw no good reason to interfere with the learned judge’s exercise of his discretion.

With the greatest respect to the learned judge it seems to me that *Abdul Karim Khan's* case (1) was decided on its own facts; it did not purport to lay down the principle which the learned judge drew from it; it merely decided that in the circumstances of that case the court saw no good reason to interfere with the exercise of discretion of the trial judge in refusing to allow the plaintiff to amend his pleadings, inconsistency in the pleadings which the amendment created being merely one of the factors upon which the discretion was founded. It did not purport to restrict the well-known principle expressed by Bramwell, L.J., in *Tildesley v. Harper* (3), (10 Ch.D. at p. 396):

“My practice has always been to give leave to amend unless I have been satisfied that the party applying was acting mala fide, or that, by his blunder, he had done some injury to his opponent which could not be compensated for by costs or otherwise.”

That principle was applied in *Eastern Bakery v. Castelino* (4) and *Simonian v. Johar* (2) and although those two cases were not referred to in *Abdul Karim Khan's* case (1) the court in that case applied the same general rule which was stated by O’Connor, P., in the *Eastern Bakery* case (4), viz., that “this court will not interfere with the discretion of a judge in allowing or disallowing an amendment to a pleading unless it appears that in reaching his decision he has proceeded upon wrong materials or a wrong principle.”

Counsel for the plaintiffs contended that if the learned judge did not exercise his discretion then this court should do so and uphold the refusal of the amendment on the ground that the defendants have, by their defence, lapse of time and failure to inform the plaintiffs of their intention to avoid, affirmed the policy and precluded themselves from raising a defence avoiding the policy. He relied in support of his contention on the following cases: *Clough v. London & North Western Railway Co.* (5); *Kwei Tek Chao v. British Traders and Shippers, Ltd.* (6); *Scarf v. Jardine* (7); *Car and Universal Finance Co., Ltd. v. Caldwell* (8). While it is true to say that these cases deal with the question of election it is equally true that none of them deals with amendments of pleadings. Consequently they are not applicable to the present case. No case has been cited to us and I know of none where an application to amend a pleading before trial has been refused on the ground of election. I cannot envisage a refusal on such a ground except in the plainest of cases. Whether or not there was election on the part of the defendants in the present case is a matter which the plaintiffs may raise in a reply and which ought to be decided at the hearing of the case after evidence called. For that reason I refrain from

expressing any opinion as to the merits or demerits of such a plea.

The principles upon which a court acts in an application to amend a pleading before trial are well settled. They are succinctly stated in *Eastern Bakery v. Castelino* (4) where O'Connor, P., said ([1958] E.A. at p. 462): "It will be sufficient, for purposes of the present case, to say that amendments to pleadings sought before

the hearing should be freely allowed, if they can be made without injustice to the other side, and that there is no injustice if the other side can be compensated by costs: *Tildesley v. Harper* (3); *Clarapede v. Commercial Union Association* (9). The court will not

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refuse to allow an amendment simply because it introduces a new case: *Budding v. Murdoch* (10). But there is no power to enable one distinct cause of action to be substituted for another, nor to change by means of amendment, the subject matter of the suit: *Ma Shwe Mya v. Maung Po Hnaung* (11). The court will refuse leave to amend where the amendment would change the action into one of a substantially different character: *Raleigh v. Goschen* (12); or where the amendment would prejudice the rights of the opposite party existing at the date of the proposed amendment, e.g., by depriving him of a defence of limitation accrued since the issue of the writ: *Weldon v. Neal* (13); *Hilton v. Sutton Steam Laundry* (14). The main principle is that an amendment should not be allowed if it causes injustice to the other side: Chitaley, p. 1313."

In *Simonian's* case (2) this court approved amendments to a plaint which raised new causes of action because they were not of a different character from or foreign to or inconsistent with the original cause of action but stemmed from the same transaction. In that case Crawshaw, J.A., delivering the leading judgment with which Forbes, V.-P., and Gould, J.A., agreed, saw no reason to differ from the view expressed by the learned Chief Justice in an Indian case that if the alternative claim could be combined in the original plaint he saw no reason in principle why they could not be combined at a later stage by amendment. In *G. L. Baker, Ltd. v. Medway Building, etc., Ltd.* (15), Jenkins, L.J., after quoting the old O. 28, r. 1 of the Rules of the Supreme Court in England which corresponds with O. VI, r. 18 of the Civil Procedure (Revised) Rules, 1948, of Kenya, said ([1958] 3 All E.R. at p. 546): "There is no doubt whatever that it is a guiding principle of cardinal importance on this question that, generally speaking, all such amendments ought to be made 'as may be necessary for the purpose of determining the real questions in controversy between the parties'."

The case of *J. Leavey & Co., Ltd. v. George H. Hirst & Co., Ltd.* (16), illustrates the length to which the courts in England will go to allow amendments. In that case:

"The appellants claimed damages for breach of contract to supply certain goods to which the Limitation of Supplies Order, 1941, applied, delivery as ready after June, 1941. The respondents, by their defence, set up one defence only, namely, that the Order had the effect of making it illegal, and therefore impossible, for them to fulfil their contract with the appellants. No attempt was made at the trial to support that proposition. The respondents, however, set up two new defences. First, relying upon a term in the contract 'strikes, breakdowns, or other unforeseen circumstances excepted', they said that unforeseen circumstances had arisen which excused them from the performance of the contract. Secondly, they maintained that, as soon as the Order came into operation, the contract was at an end by reason of the doctrine of frustration."

The learned trial judge found in favour of the respondents on the two new defences despite the protests of the appellants and without requiring the respondents to amend their defence. On appeal the court allowed the respondents to amend their defence so as to include the two new defences but in the result found for the appellants on both issues and allowed the appeal. It will be observed that that case is the reverse of the present one. There the respondents in their original defence sought to avoid the contract and were nevertheless in the Court of Appeal allowed to amend and set up a defence affirming the contract.

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Applying the principles which I have endeavoured to set out earlier in this judgment, I can see no good reason to refuse the defendants leave to amend their defence. From the beginning they denied liability and the amendment seeks to add a new ground for doing so which could have been pleaded as an alternative ground in the original defence. The learned judge was satisfied that the application was bona fide and that it could cause no injustice to the plaintiffs. It seems to me a reasonable inference to draw that had he not felt compelled by *Abdul Karim Khan's* case (1) to refuse the application he would have granted it.

I would accordingly allow the appeal, set aside the order of the learned judge, together with the

order for costs, and direct that the defendants be allowed to amend their defence in accordance with the amended defence exhibited to their application, the plaintiffs being at liberty to reply thereto. I would direct that the costs of the application in the court below be left to the discretion of the trial judge at the conclusion of the case. The defendants will have the costs of this appeal. Both sides asked for a certificate for two counsel but I do not think that this is a proper case in which to make such an order.

Law JA: The background to this appeal is fully set out in the judgment of De Lestang, Ag. P. The learned judge in the High Court refused to allow the defendants to amend their written statement of defence so as to add the defence that they are entitled to avoid the policy on the ground of non-disclosure of a material fact in the proposal form which led to the issue of the policy, the original defence being that they were not liable to pay because the plaintiffs were in breach of a term or condition contained in the policy. The judge held that the proposed amendment was inconsistent with the original pleading and entirely altered the defence, and he considered that he was bound by the decision of this court in *Abdul Karim Khan v. Mohamed Roshan* (1) to refuse to allow the amendment. It is true that in that case the judgment of Crabbe, J.A., includes the phrase “Surely, the court cannot allow an amendment which creates inconsistency in the pleadings”, but those words must be read in their context. The learned justice of appeal was dealing with the particular facts of the case then under consideration, and was not purporting to state a principle of general application. In *Abdul Karim Khan’s* case (1) the plaintiff had been refused permission to amend his plaint by introducing a claim based on a fresh cause of action, that is to say an implied agreement, whereas the claim as originally pleaded was based on an express agreement, and this court declined to interfere with the discretion of the High Court judge in refusing to allow such an amendment. The amendment sought in the case now under consideration involves an alternative rather than an inconsistent ground of defence. It would have been open to the defendants to have pleaded:

(a) that the policy had been avoided by reason of misrepresentation or non-disclosure of a material fact in the proposal form; and

(b) alternatively, if the policy had not been so avoided, that the plaintiffs were in breach of a term or condition contained therein.

The failure to plead (a) in the original defence was an omission due to inadvertence on the part of the defendants’ then advocates; and such an omission does not necessarily preclude the defendants from the right to have the suit decided on the proper issues; see *Jupiter General Insurance Co., Ltd. v. Rajabali Hasham and Sons* (17). In my view the defendants’ application to amend their defence in this case should have been granted, and I think it would have been granted had the learned judge not considered himself to be bound by the

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decision in *Abdul Karim Khan’s* case (1). For these reasons, I agree that the appeal should be allowed, and I concur in the order proposed by De Lestang, Ag. P.

Spry Ag VP: I agree.

Appeal and amendment allowed.

For the appellants:

Hoshang Shroff, Nairobi

J. M. Nazareth, Q.C., and *Hoshang Shroff*

For the respondents:

G. S. Sandhu & Co., Nairobi

D. N. Khanna and *G. S. Sandhu*